

Professorship of Corporate Law
Prof. Dr. Stefanie Jung, M.A. (CoE)

Business Law

Contract Law I

Summer Term 2025



Contract Law I

(1) Revision questions

(2) Declaration of intent (DoI)

Intention to be legally bound

Essentialia negotii

Issuing and reception

(3) Conclusion of a contract

Offer and acceptance

Overview of Cases

Case	Focus
1	Intention to be legally bound
2	Essentialia negotii
3	Offerta ad incertas personas Invitatio ad offerendum
4	Interpretation of Dols
5	Point of contract conclusion Silence and acceptance
6	Issuing and reception
7	Combination of what we learned

What is a Declaration of Intent (DoI)?

= A declaration of intent is the expression of a person's will which is aimed at bringing about a certain legal consequence.

- **Explicitly**
- **Implicitly**
- **Silence?**

Silence **generally** does not articulate a will

★
Interpretation!!

Explicitly:
The exact information
is said/written.



Implicitly:
The information can be taken
from the circumstances/actions



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- **Implicitly**
- **Silence?**

Legally anchored exceptions
will be discussed in another
session

★
Interpretation!!

Explicitly:
The exact information
is said/written.



Implicitly:
The information can be taken
from the circumstances/actions



Explain the legally binding effect of a DoI.

- Offer is legally binding (§ 145 Hs. 1 BGB) until:
 - It is refused (§ 146 Alt. 1 BGB)
 - No acceptance is made in good time (§§ 146 Alt. 2, 147 to 149 BGB)→ You cannot just take it back

- Exception (§ 145 Hs. 2 BGB)
 - Offeror has excluded being bound by it

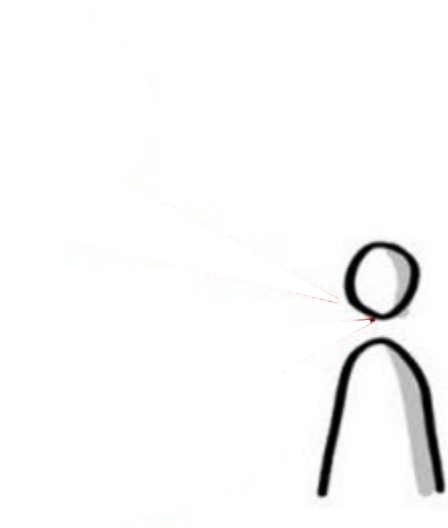
If a person makes an offer and the other side answers by amending this offer, what is the legal situation?

- A contract is a legal transaction consisting of **two matching declarations of intent**, offer and acceptance
- A modified acceptance is considered to be a rejection combined with a new offer (§ 150 II BGB)
- This new offer can be accepted by the other party

Revision Questions

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If a person makes an offer and the other side answers by amending this offer, what is the legal situation?



Revision Questions

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If a person makes an offer and the other side answers by amending this offer, what is the legal situation?



Explain the principle of private autonomy.

- Each party to a contract can freely decide whether and with whom a contract is to be concluded
 - Freedom to conclude or not conclude a contract
 - Freedom to choose a partner
 - Freedom of content
 - Freedom of form

- Source: General freedom of action (Article 2 I GG)

- Risk
 - You have to watch out to protect your own interest
 - Freedom of action also corresponds with respective responsibilities

Intention to be legally bound

Case 1 – Facts

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G has a green thumb and a beautiful garden. In summer G wants to travel to Spain. He asks his neighbour (N) if she can water the garden during the five days of his absence. N agrees, because she wants to help G among neighbors. G and N did not talk about any compensation for N.

Two weeks later, N wins a short trip in the lottery. So she won't be able to water the garden for at least 3 days. G should thus look out for other help. G thinks N has to keep her word.

Question: Did G and N conclude a contract?

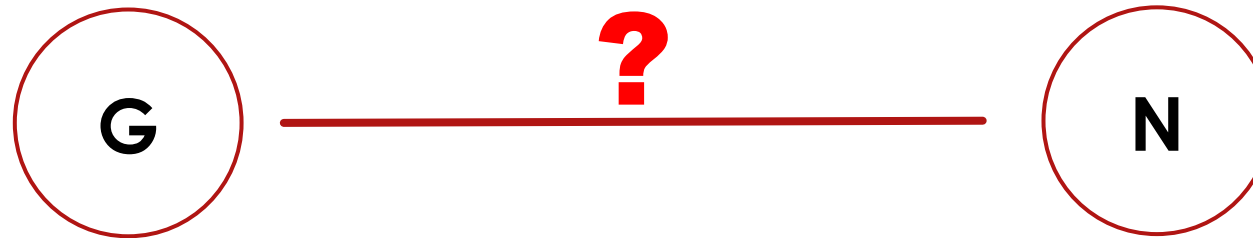
Case 1 – Facts/Sketch

13

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Question: Did G and N conclude a contract?



Problem?

A. Conclusion of a contract

Wich type of contract?

- Service contract, § 611 BGB

§ 611 BGB

Typical contractual duties in a service contract

- (1) By means of a service contract, a **person who promises service is obliged to perform the services promised**, and the **other party is obliged to grant the agreed remuneration**.
- (2) **Services of any type** may be the subject matter of service contracts.

Requirements for that type of contract?

- Two matching DoI: Offer and acceptance (§§ 145 et seqq. BGB)
- Both including the essentialia negotii
- Both with the intention to be legally bound

I. Offer by G (+)

= DoI by which the conclusion of the contract is requested to another party in such a way that the conclusion of the contract only depends on the consent of the recipient

1. DoI by G (+)

- G asking N to water his garden for five days

2. Including essentialia negotii (+)

Essentialia negotii for service agreement:

- Parties () → G + N
- Service () → water the garden for five days
- Compensation () → no compensation mentioned → 0€

3. With intention to be legally bound (+)

- G would profit from a binding agreement

4. Interim result: Offer by G (+)

II. Acceptance by N

= DoI by which a person expresses his or her agreement with an offer

1. DoI by N (+)

- N agrees

2. Including essentialia negotii (+)

Generally no problem in the case of an acceptance

- By agreeing to G's offer, N makes reference to the essentialia negotii

3. With intention to be legally bound (-)

Pro intention to be legally bound	Con intention to be legally bound
G relies on N. In summer the garden will need a lot of water. G is in Spain and can't come back for watering it himself.	Responsibility and risk for N
	N does not receive any compensation
	N wants to do her neighbor a favor

4. Interim result: Acceptance by N (-)

III. Result: Contract (-)

Essentialia negotii

Case 2 – Facts

20

I is interested in buying a watch out of collector C's collection. With this request I approaches C. The two of them form an “agreement” saying C will sell a blue chronograph to I.

Question: Is there a valid contract?

Case 2 – Facts/Sketch

21

I is interested in buying a watch out of collector C's collection. With this request I approaches C. The two of them form an “agreement” saying C will sell a blue chronograph to I.

Question: Is there a valid contract?



Problem?

A. Conclusion of a contract

Wich type of contract?

- Purchase agreement (§ 433 BGB)

Requirements for that type of contract?

- Two matching DoI: Offer and acceptance (§§ 145 et seqq. BGB)
- Both including the essentialia negotii
- Both with the intention to be legally bound

I. Offer by I

= DoI by which the conclusion of the contract is requested to another party in such a way that the conclusion of the contract only depends on the consent of the recipient

1. DoI by I (+)

- I asks C to buy one of his watches

2. Including essentialia negotii (-)

Essentialia negotii for purchase agreement:

- Parties (+) → I + C
- Good (-) → „a blue chronograph“
- Price (-) → no price mentioned at all

Price is very
relevant

- It is unclear which watch I wants to buy from C, since he has a whole collection
- No price is mentioned or can be determined by the good

3. Interim result: Offer by I (-)

Also: No indication of another offer

II. Result: Contract (-)

Offerta ad incertas personas
Invitatio ad offerendum

Case 3 – Facts

26

Painter (P) plans to sell an oil painting. Thus, he advertises it in the local newspaper. The advertisement states a price of 500€. Art lover (A), always looking for extraordinary paintings, reads it and writes P the following letter:

“Dear P, I hereby buy the painting that was advertised in the newspaper for 500€. - A”

P writes back that he is very sorry, but he has already sold the painting.

Question: Is there a binding contract between P and A?

Case 3 – Facts/Sketch

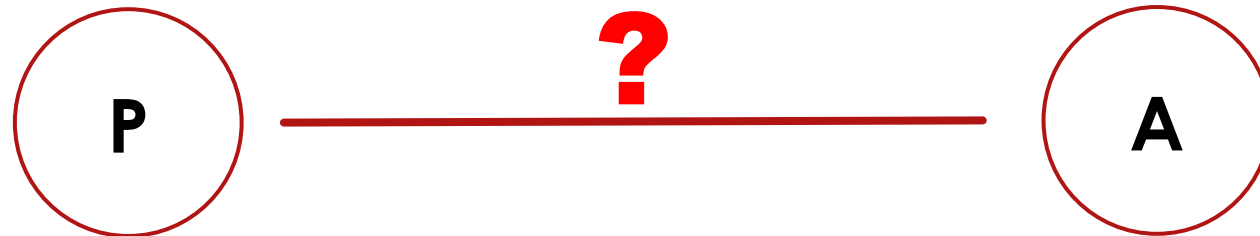
27

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Question: Is there a binding contract between P and A?



Problem?

A. Contract conclusion

Wich type of contract?

- Purchase agreement (§ 433 BGB)

Requirements for that type of contract?

- Two matching DoI: Offer and acceptance (§§ 145 et seqq. BGB)
- Both including the essentialia negotii
- Both with the intention to be legally bound

I. Offer

1. Advertisement by P

a) DoI by P (+)

b) Including essentialia negotii (+)

Offerta ad incertas personas?
Offer is not directed at a specific person, but at **anyone** interested

Essentialia negotii of a purchase agreement:

- **Parties (?)** → P and anyone who learns about the offer (probably by reading the newspaper)
- Price (+) → 500€
- Good (+) → oil painting



Case 3 – Solution

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c) With intention to be legally bound (-)

- P does not want to conclude a contract with a random reader of the newspaper

Goal	Reason
No binding of the seller	Seller must check stock
	Seller does not want to conclude several contracts for the same thing
	Otherwise, claims for damages may arise
Goal	Reason
No commitment to any buyer	Checking whether a person has sufficient financial resources
	Seller may want to make special arrangements with buyer

Invitatio ad offerendum

d) Interim result: Advertisement by P: No offer

2. Letter by A

- a) DoI by A (+)
- b) Including essentialia negotii (+)
- c) With intention to be legally bound (+)
- d) Interim result: Letter by A (+)

II. Acceptance by P (-)

- P declines the offer from A, since he already sold it

B. Result: Contract (-)

Interpretation of the Declaration of Intent (DoI)

Case 4 – Facts

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Customer (C) visits a supermarket, which is operated by S. C notices a yellow sign stating a discounted price of 2€ per bowl of strawberries (instead of 3€ each). She grabs a bowl and proceeds to the checkout. S scans the item and asks C to pay 3€. When C mentions the special offer sign, S replies that this must be a mistake and insists on the payment of the higher price.

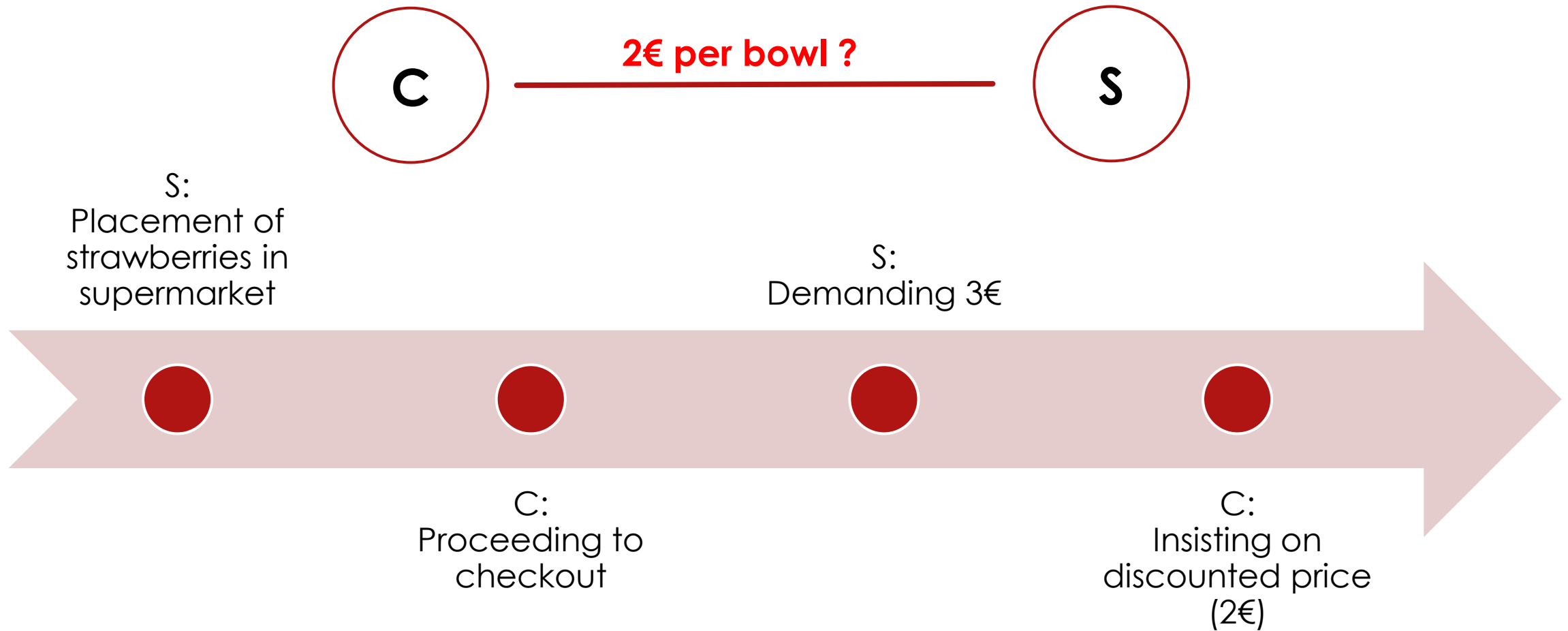
However, C disagrees and refers to a formation of contract at a price of 2€.

Question: Have they concluded a purchase agreement at a price of 2€ per bowl?

Problem?

Case 4 – Sketch

34



A. Conclusion of a purchase agreement (§ 433 BGB)

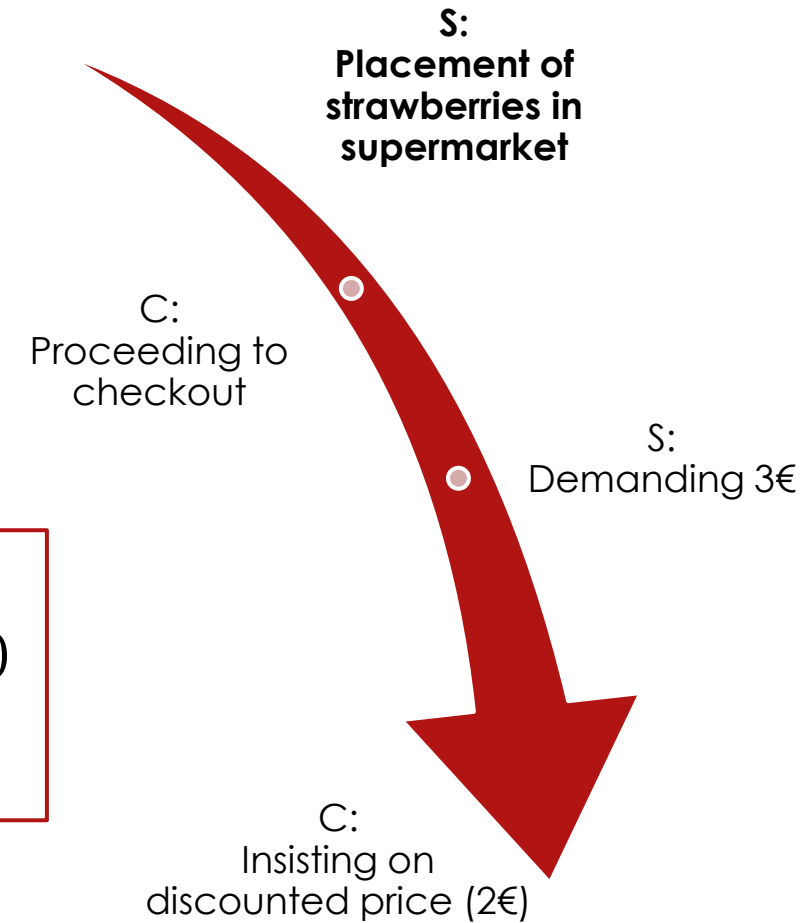
- At a price of 2€ per bowl

I. Offer by S: Placement of strawberries

- No intention to be legally bound
→ Invitatio ad offerendum

Conclusion of a purchase agreement in the supermarket:

- Placement of goods in the supermarket (invitatio ad offerendum)
- **Offer:** Customer taking the good to the cash desk
- **Acceptance:** Cashier operates the cash register



II. Offer by C: Proceeding to checkout

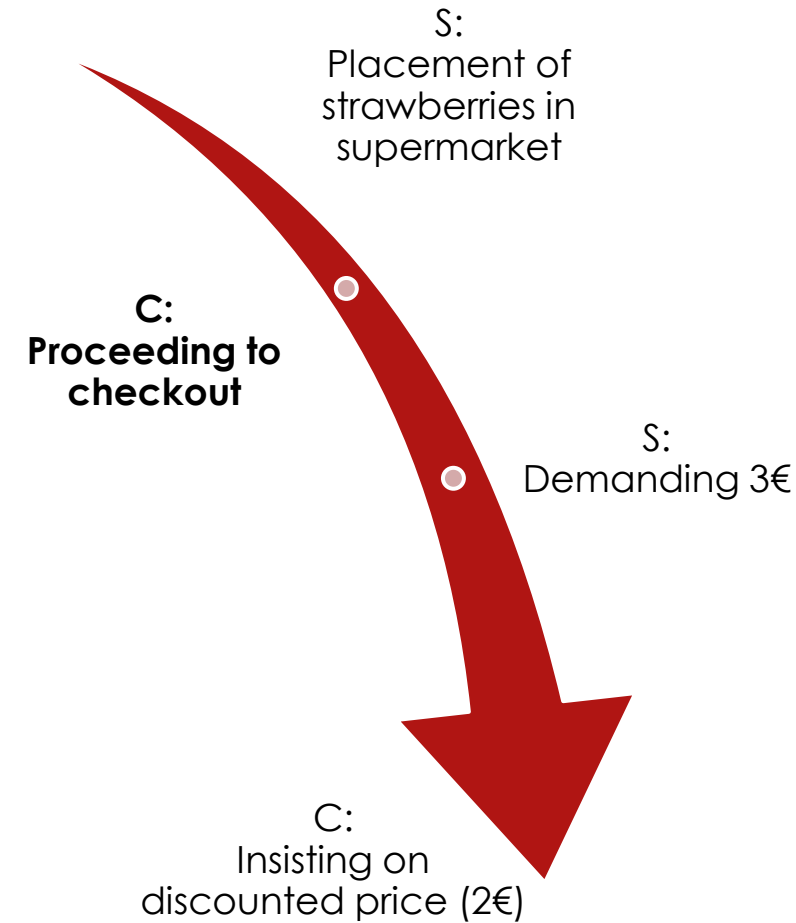
1. DoI by C (+)

2. Including essentialia negotii (+)

- C hands over the strawberries without comment

Essentialia negotii of a purchase agreement :

- Parties (+) → C and S
- Good (+) → bowl of strawberries
- Price (?) → no price mentioned
→ 2€/bowl or 3€/bowl



▪ Offer of C needs interpretation

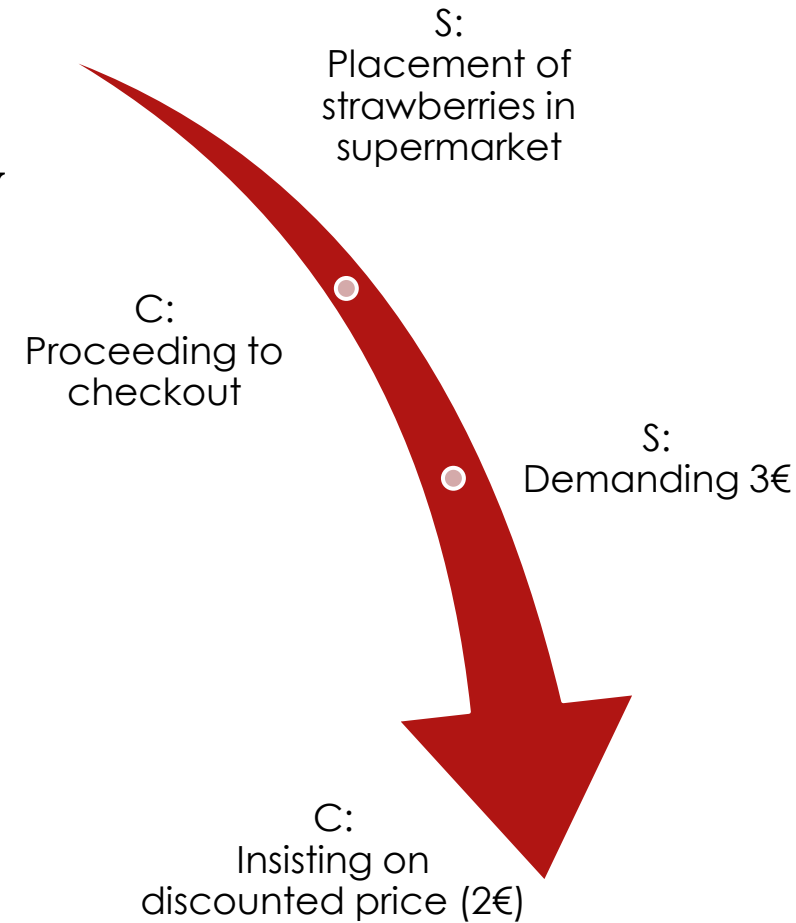
= **Objective horizon of the recipient of the DoI (§§ 133, 157 BGB)**

DoI is to be understood like it would have been understood by a third, “reasonable” person taking into account all circumstances at the time of making the declaration.

- Strawberries are marked with a yellow sign in the supermarket as a special offer for **2€/bowl**
- Any third “reasonable” person would assume that C declares an offer for this price

4. With intention to be legally bound (+)

5. Interim result: Offer by C at 2€ (+)



Case 4 – Solution

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III. Acceptance by S (-)

- S is only interested in selling them for 3€/bowl

Possible counteroffer from S for 3€
BE CAREFUL: Case question is about 2€

IV. Offer by C: Insisting on price of 2€/bowl (+)

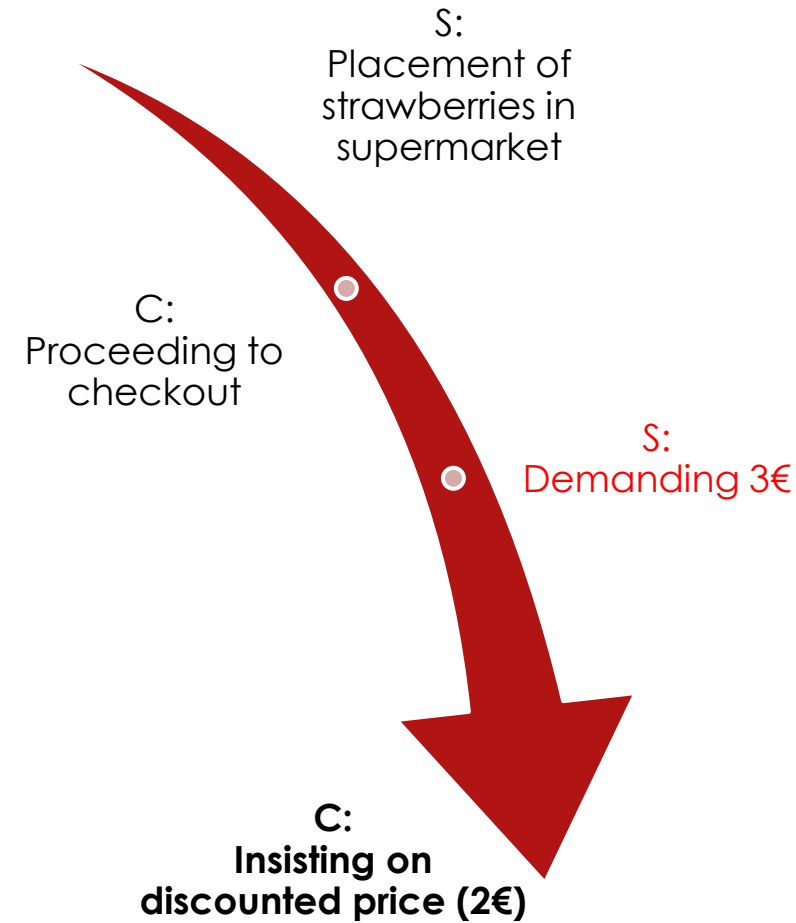
- C insists on the reduced price

V. Acceptance by S (-)

- No reason to assume that S changed his mind

B. Result (-)

C and S did not conclude a purchase agreement at a price of 2€/bowl.



Identifying the point of contract conclusion
Effect of silence on the acceptance of an offer

Case 5 – Facts

40

Customer (C) visits Fiona's furniture store to buy a sofa. Fiona (F) highly recommends the couch "Relax" and offers C a discounted price of 1,100€. C wants to discuss the issue with his girlfriend (G) and leaves the store.

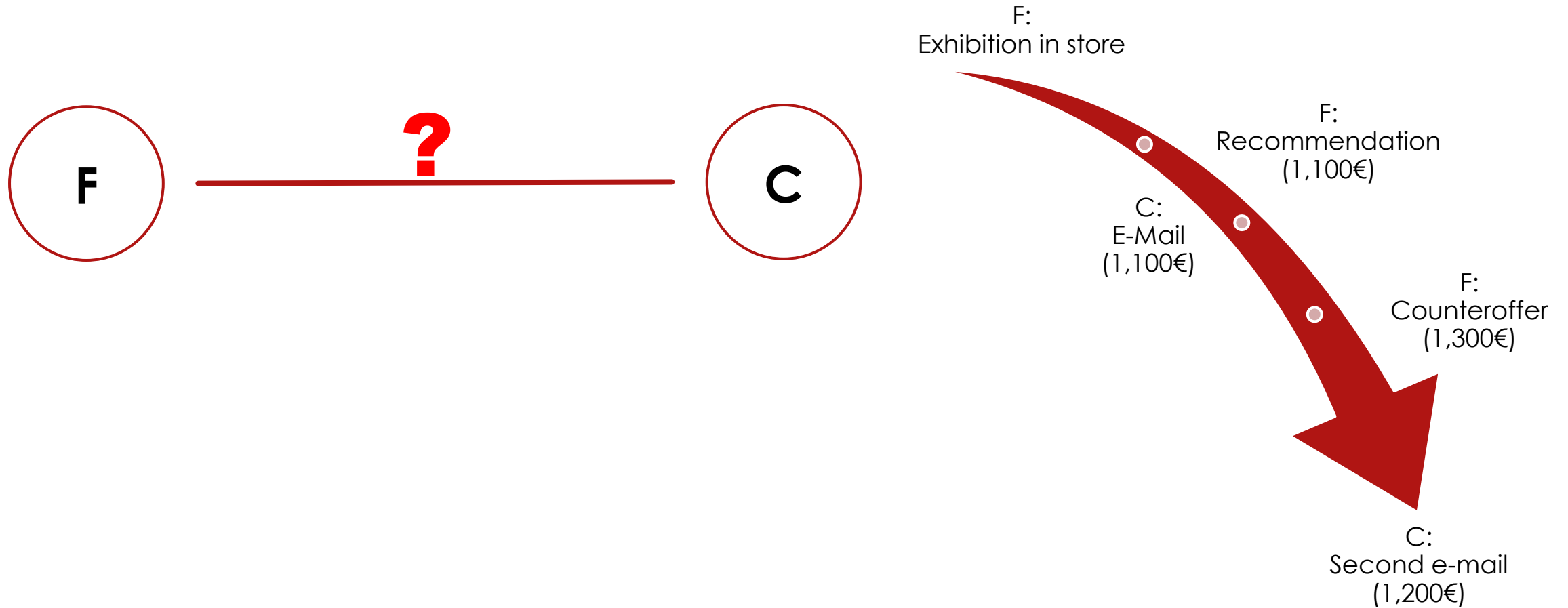
A few days later, he succeeds in convincing G to go ahead with the purchase. He immediately writes an email to F saying that he would buy the couch on the terms indicated. However, F replies that due to a very recent price increase she can only offer a price of 1,300€. C thinks that this is quite expensive. He writes back that he understands F's position, but the price is just too high. He would be willing to pay 1,200€ instead. C never heard back from F.

Question: Did C and F conclude a purchase agreement?
Presumed they have, when did they do so?

Problem?

Case 5 – Sketch

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A. Conclusion of purchase agreement (§ 433 BGB)

I. Offer

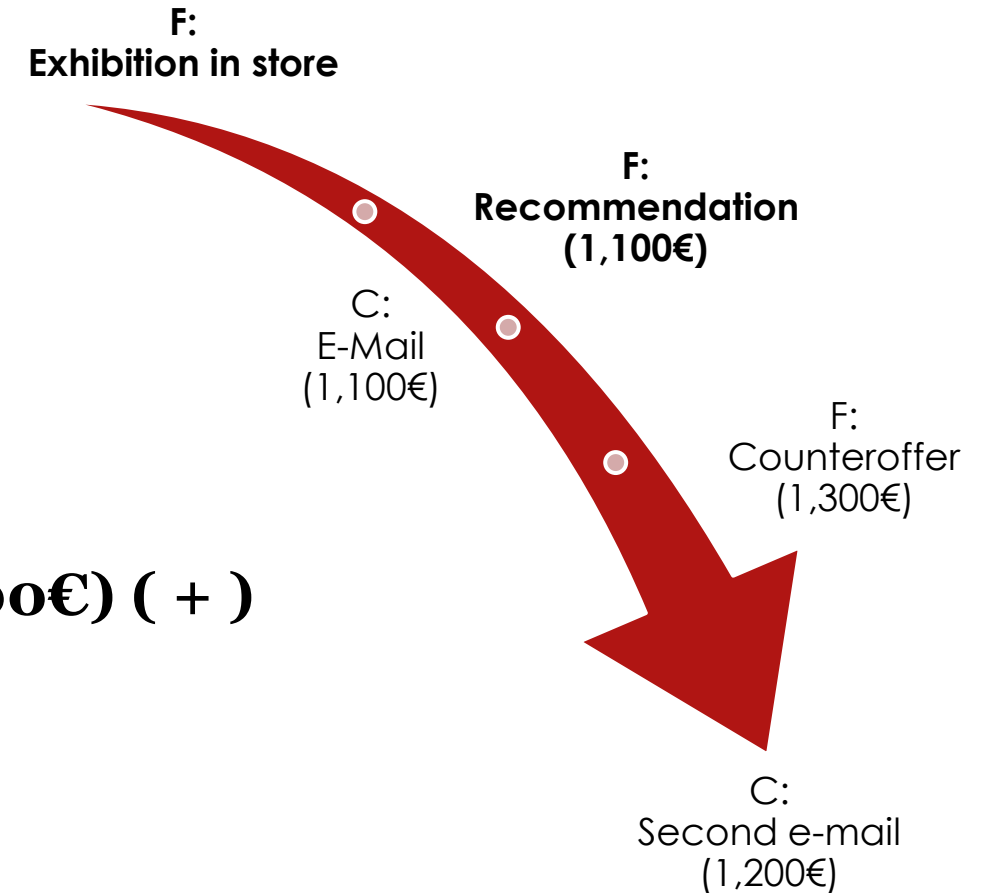
1. Offer by F: Exhibition of sofa in store (-)

- Invitatio ad offerendum

2. Offer by F: Recommendation in the store (1,100€) (+)

- F wants C to buy sofa „Relax“ for 1,100€

3. Interim result: Offer by F (+)



II. Acceptance by C

1. Immediately § 147 I 1 BGB (-)

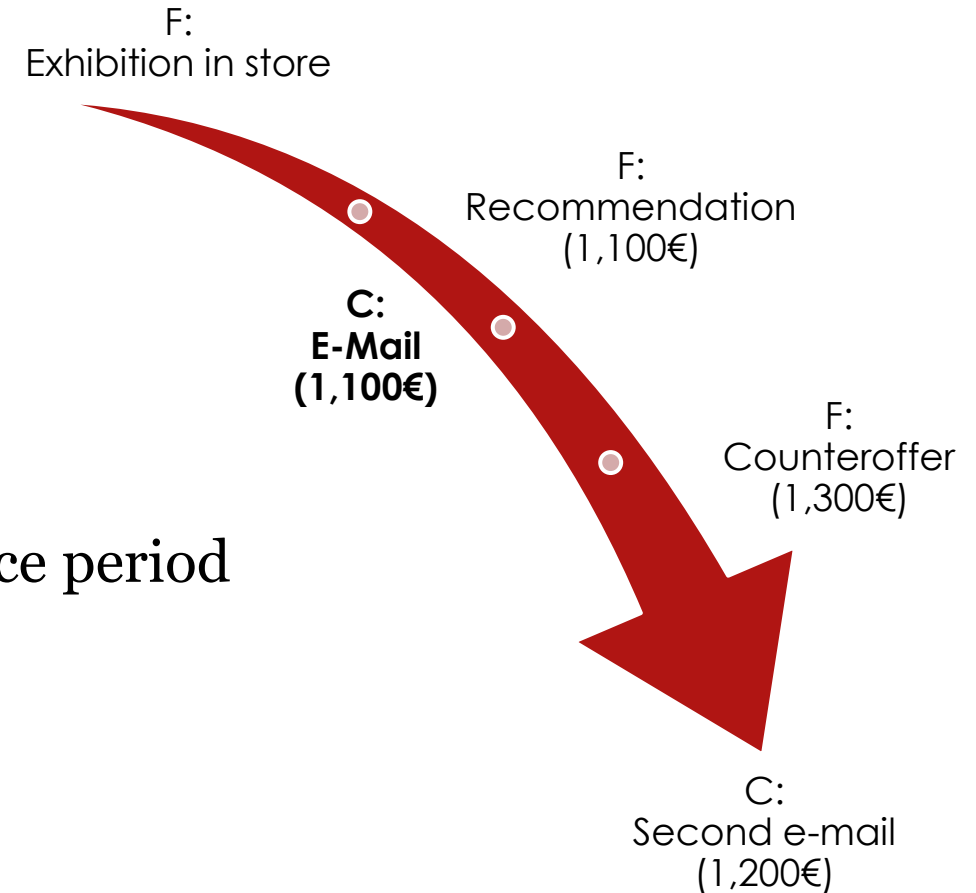
→ Offer made to a person who is present

- C has to talk to girlfriend first

2. Other agreement by F and C (-)

- Parties didn't agree on a prolongation of the acceptance period
- E-mail a few days later (1,100€) is too late
- Offer expired (§ 146 BGB)

3. Interim result: Acceptance by C (-)



Case 5 – Solution

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III. Offer by C: New offer by e-mail (1,100€) (+)

- Late acceptance is considered to be a new offer (§ 150 I BGB)

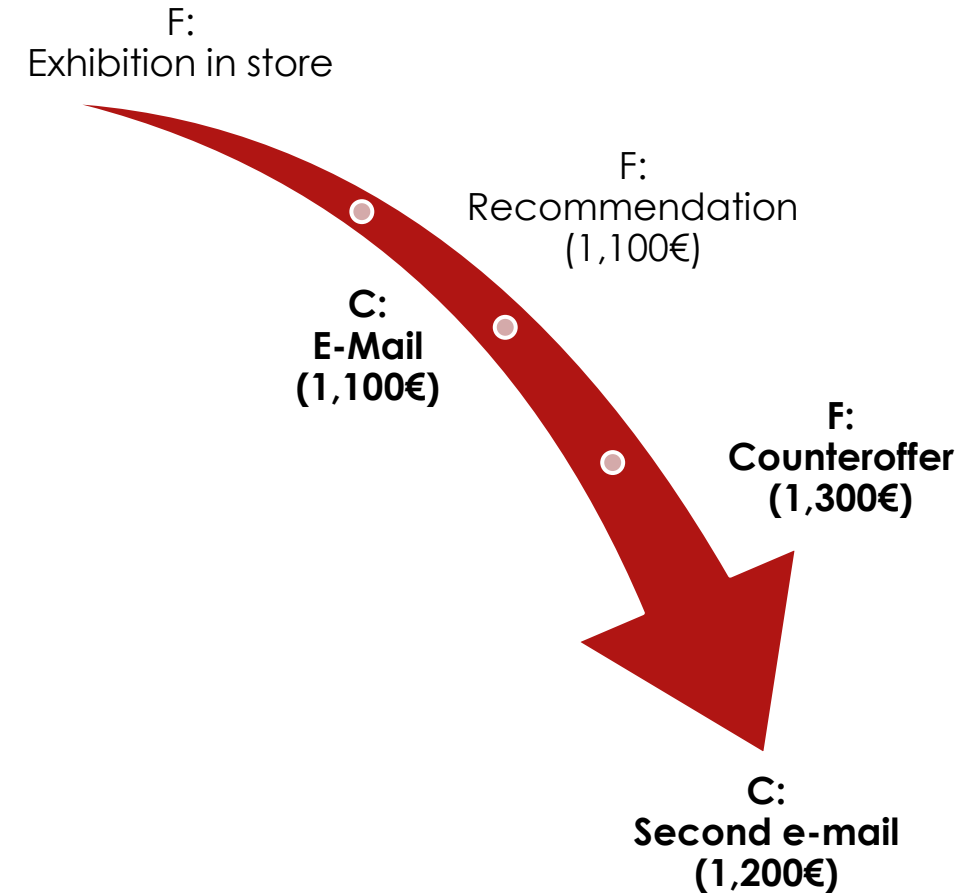
IV. Acceptance by F: Counteroffer (1,300€) (-)

- A modified acceptance is considered to be a rejection combined with a new offer (§ 150 II BGB)

V. Offer by F: Counteroffer (1,300€) (+)

VI. Acceptance by C: Second e-mail (1,200) (-)

- A modified acceptance is considered to be a rejection combined with a new offer (§ 150 II BGB)



V. Offer by C: New offer by second e-mail (1,200€) (+)

VI. Acceptance by F (-)

1. Explicit/implicit acceptance (-)

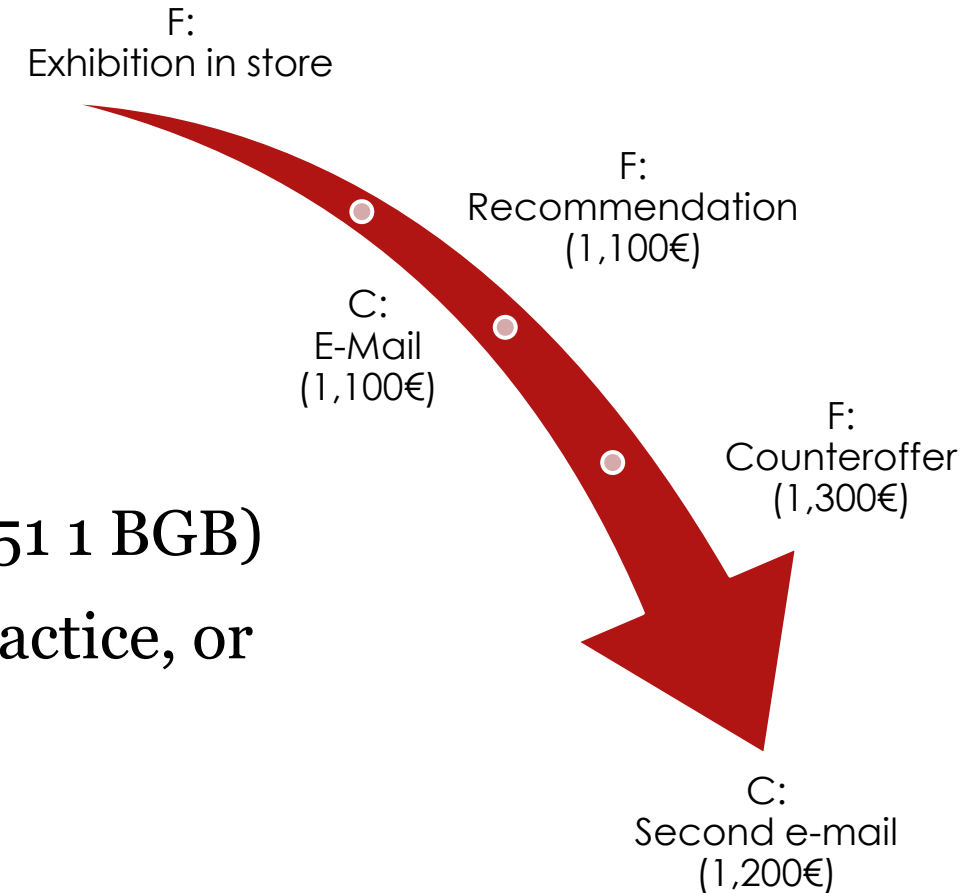
2. Silence (-)

3. Acceptance without declaration (-)

= Acceptance without declaration to the offeror (§ 151 1 BGB)

- Declaration is not to be expected to customary practice, or
- Offeror has waived it

VII. Result: Contract (-)



Issuing and reception of an DoI

Case 6 – Facts

47

Emma (E) is a sports car enthusiast and wants to rent a cabriolet. On Monday morning she finds a brochure of the car rental of Carl (C). When E tries to call C, she receives information from the answering machine that the rental is closed.

However E decides to write the following letter to C later that day:

“I hereby rent a cabriolet from the middle category for next Saturday.”

The letter is put into C’s postbox by the postman on Tuesday morning. On Wednesday morning, E is informed that she will have to work on that Saturday. E immediately sends an email to C and informs him that, with deep regret, she has to cancel the “reservation” of the cabriolet.

Case 6 – Facts

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C hasn't read E's letter yet. After reading E's email, he refers to the "formed contract" and demands the payment of the rent.

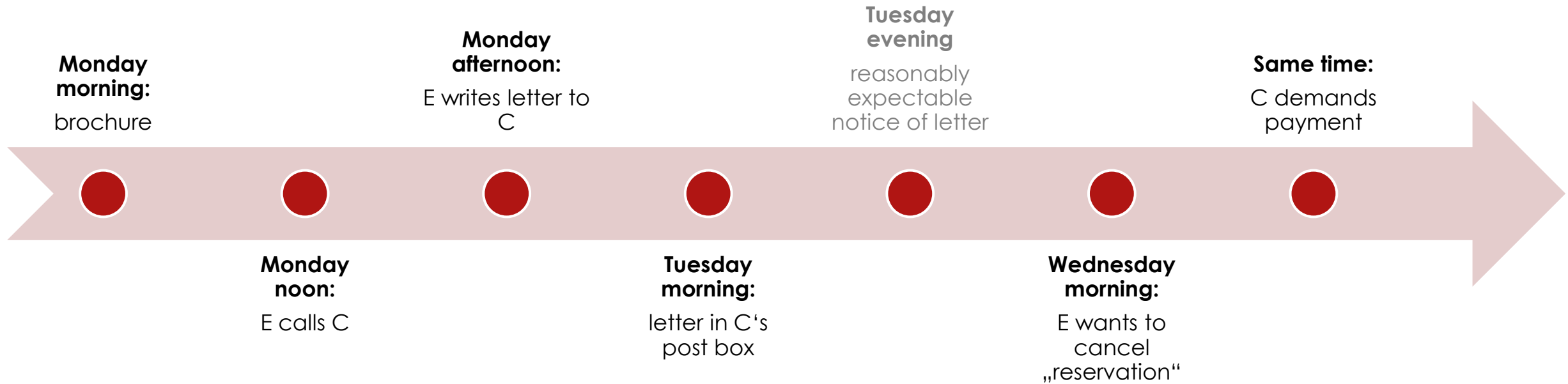
Questions:

- a) Did E and C conclude a valid rental agreement (§ 535 BGB)?
- b) If so, can B claim payment of the rent (§ 535 II BGB)?

Problem?

Case 6 – Sketch

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A. Conclusion of a rental agreement (§ 535 BGB)

synonym to rental
agreement

§ 535

Contents and primary duties of the lease agreement

- (1) ¹A lease agreement imposes on the lessor a duty to grant the lessee use of the leased property for the lease period. ²The lessor must surrender the leased property to the lessee in a condition suitable for use in conformity with the contract and maintain it in this condition for the lease period. ³He must bear all costs to which the leased property is subject.
- (2) The lessee is obliged to pay the lessor the agreed rent.

A. Conclusion of a rental agreement (§ 535 BGB)

synonym to rental
agreement

§ 535

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- (2) The lessee is obliged to pay the lessor the agreed rent.

I. Effective offer

1. Offer

Offer = DoI by which the conclusion of the contract is requested to another party in such a way that the conclusion of the contract only depends on the consent of the recipient

a) Offer by C: With brochure (-)

- Invitatio ad offerendum

b) Offer by E: With call (-)

- E didn't reach anyone

Case 6a) – Solution

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c) Offer by E: Letter

aa) DoI by E (+)

bb) Including essentialia negotii (+)

Essentialia negotii for rental agreement:

- Parties (+) → E and C
- Renting object (+) → cabriolet from the middle category
- Renting price (+) → available from brochure
- Renting duration (+) → next Saturday

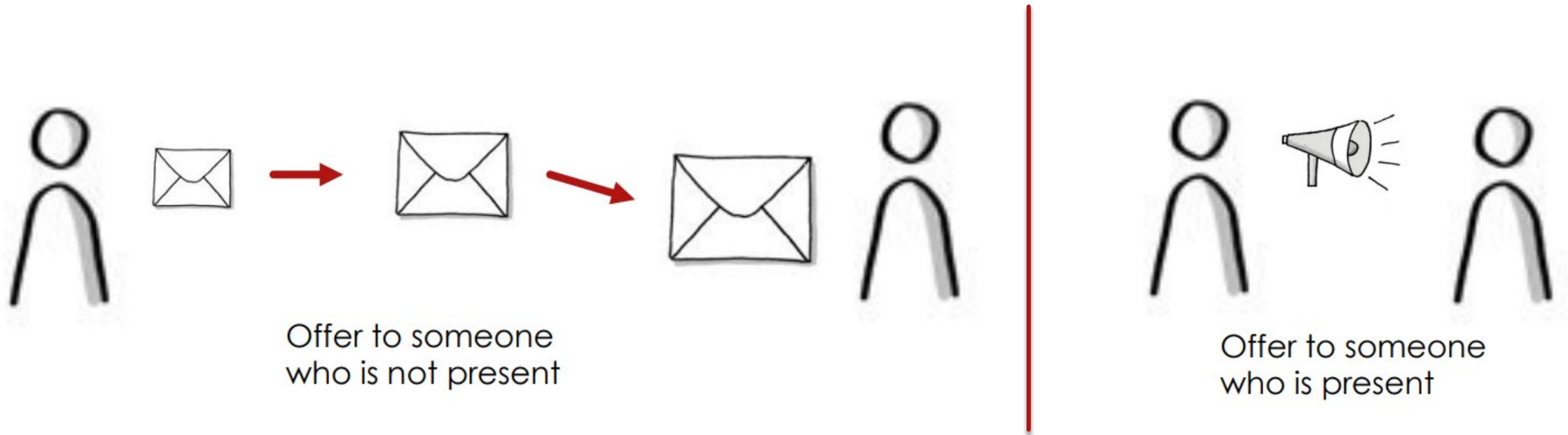
cc) With intention to be legally bound (+)

dd) Interim result: Offer by E (+)

2. Issuing of offer by E

Effective offer = An offer is only effective if the **declaring party issues it**, it was received by the recipient of the declaration and was not revoked in time.

- Letter was sent by post



3. Receipt of offer by C (§ 130 I 1)

Effective offer = An offer is only effective if the declaring party issues it, it was **received by the recipient of the declaration** and was not revoked in time.

aa) Receipt (+)

- Tuesday morning letter is in the post box of C
- Post box is C's sphere of influence

bb) Time of receipt (+)

= when recipient can be reasonably expected to have taken notice

- Post box needs to be checked the same day in the evening
- Actual reading is not required

cc) **Result:** Receipt of offer on Tuesday evening (+)

4. No revocation (§ 130 I 2 BGB) (+)

Effective offer = An offer is only effective if the declaring party issues it, it was received by the recipient of the declaration and was **not revoked in time**.

= Invalid offer if DoI is revoked before/at the same time as the reception of the offer

- Receipt can be dated back to Tuesday evening
- Email of Wednesday morning is after the reception

5. Interim result: Effective offer E (+)

Case 6a) – Solution

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II. Acceptance by C

= DoI by which a person expresses his or her agreement with an offer

1. Explicit acceptance (-)

- No explicit answer from C to E's letter

2. Implicit acceptance (+)

a) Acceptance (+)

- C demands the payment of the rent and refers to the “formed contract”

b) In due time (§ 147 II BGB) (+)

- An answer the next day is to be expected

c) Interim result: Acceptance in due time (+)

III. Result: Conclusion of rental agreement (§ 535 BGB) (+)

A. Claim for payment of rent (§ 535 II BGB)

C could have a claim for payment of the rent against E pursuant to § 535 II BGB. Prerequisite is an effective rental agreement in the sense of § 535 BGB.

I. Rental agreement (§ 535 BGB) (+)

II. Rental agreement grants the lessor a claim for payment of the rent against the lessee (§ 535 II BGB) (+)

III. Result: claim (+)

Combination case – contract conclusion

Case 7 – Facts

60

A manufacturer of sports equipment (M) meets with a producer of machines (P). M has been a long-time customer of P. On an individual appointment P presents M a newly developed machine.

M believes that the machine would be useful in his production, so he sits down with P and negotiates. Even though they agreed on the price, some aspects still need to be figured out. In particular, P needs to check whether he can secure the supply of spare parts for M in the years to come. In addition, P needs to double check with his staff the delivery time and costs. M leaves saying that “he would get back to P to put the negotiations in writing”.

Case 7 – Facts

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The following morning, M sends P an e-mail:

“I am in principle willing to go ahead with the purchase of three machines. I am happy about our discussions yesterday which we left at the following state:

- *Price of 21.000€ per machine*
- *Delivery costs (unclear)*
- *Delivery time in about 2-4 months (unclear)*
- *Spare part availability for the machine (not yet secured)*

If there are any new developments, please come back to me.”

A week later, P gets back to M stating that he would be able to provide M with free delivery in three months and that he has secured spare part availability. He is thus happy to confirm the order for 21.000€ per machine.

Case 7 – Facts

62

M is surprised by the late reply. He thinks that he has not placed a binding order with P. Instead, he received a better offer from P's competitor (C), which he accepted in the meantime.

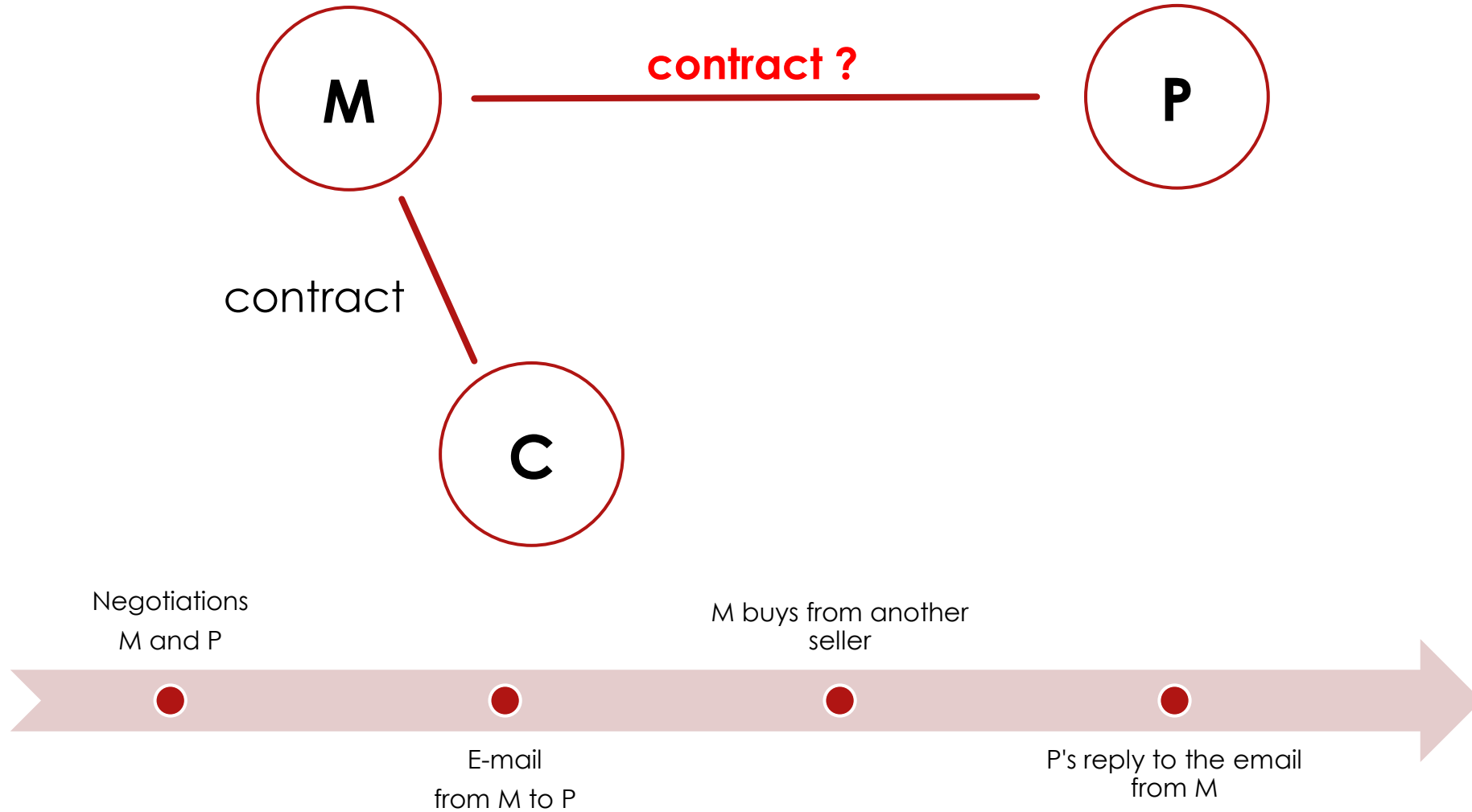
Question:

Have M and P concluded a contract?

Problem?

Case 7 – Sketch

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A. Conclusion of a contract

Type of contract: Purchase agreement (§ 433 BGB)

Requirements: Usual requirements for a conclusion of a contract

I. Offer

1. Negotiation in the office ()

a) DoI ()

b) Essentialia negotii ()

c) Intention to be legally bound ()

d) Interim result: Offer ()

2. Offer by M: E-mail to P ()

a) DoI by M ()

b) Essentialia negotii ()

Essentialia negotii for a purchase agreement

- Parties (+) → M and P
- Price (+) → EUR 21.000 / machine
- Good (+) → 3 machines

• Additional aspects missing:

- Delivery costs ()
- Time of delivery ()
- Availability of spare parts ()

However,
not essential aspects

Case 7 – Solution

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b) Intention to be legally bound ()

Pro intention to be legally bound	Con intention to be legally bound
Contractual negotiations have advanced	Only confirmation and summary of ongoing contract negotiation
	Will to go ahead with purchase only in principle
	Some aspects of the agreement still need to be figured out (delivery, availability of spare parts)
	M asked P to come back to him first
	Written declaration is just a so-called letter of intent (LoI) and a common business practice

c) Interim result: Offer ()

3. Offer by P: Reply

- a) DoI by P ()
- b) Essentialia negotii ()
- c) Intention to be legally bound ()
- d) Interim result: Offer ()

II. Acceptance by M ()

- M already bought the machines from C

B. Result: Conclusion of a contract ()

Thank you
for your attention!

